

# INVESTMENT MEMORANDUM

## Broadway Court Apartments

Multi-Family Investment Opportunity

Prepared: 10/7/2025

### EXECUTIVE SUMMARY

|                     |             |
|---------------------|-------------|
| Total Units:        | 30          |
| Acquisition Price:  | \$1,710,000 |
| Total Project Cost: | \$2,291,000 |
| Equity Required:    | \$1,008,500 |
| Debt Amount:        | \$1,282,500 |
| LTC Ratio:          | 56.0%       |

### KEY INVESTMENT METRICS

|                             |       |
|-----------------------------|-------|
| Year 1 Cash-on-Cash Return: | 8.8%  |
| Levered IRR (5-Year):       | 17.9% |
| Equity Multiple:            | 2.08x |
| DSCR (Year 1):              | 1.83x |

# 5-YEAR CASH FLOW PROJECTION

| Year   | NOI       | Debt Service | Before-Tax CF | Cash-on-Cash |
|--------|-----------|--------------|---------------|--------------|
| Year 1 | \$195,206 | \$106,818    | \$88,388      | 8.8%         |
| Year 2 | \$201,062 | \$106,818    | \$94,244      | 9.3%         |
| Year 3 | \$207,094 | \$106,818    | \$100,276     | 9.9%         |
| Year 4 | \$213,307 | \$106,818    | \$106,489     | 10.6%        |
| Year 5 | \$219,706 | \$106,818    | \$112,888     | 11.2%        |

# CAPITAL STACK

| Source      | Amount      | % of Total | Cost/Return |
|-------------|-------------|------------|-------------|
| Senior Debt | \$1,282,500 | 56.0%      | 6.8%        |
| LP Equity   | \$958,075   | 41.8%      | 7.0%        |
| GP Equity   | \$50,425    | 2.2%       | Residual    |